

Discussion of “Democratizing Private Markets? Private Equity
Performance of Individual Investors”
(Balloch, Mainardi, Oh, and Vokata 2026)

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Context: Huge recent push to democratize private markets

- Larry Finck, 2025 letter to BlackRock investors:
“Assets that will define the future—data centers, ports, power grids, the world’s fastest-growing private companies—aren’t available to most investors. They’re in private markets, locked behind high walls, with gates that open only for the wealthiest or largest market participants”

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- Nov 2025, SEC Commissioner Mark Uyeda:
"Excluding private investments from 401(k) plans creates a "diversification deficit""
- Aug 7, 2025, President Trump
Executive Order 14330, *"Democratizing Access to Alternative Assets for 401(k) Investors"*

Context: Why can't most retail investors access PE?

- Regulation:
 - ▶ Investor accreditation
(wealth/income threshold/prof. qualification: 13% of US adults)
 - ▶ Requirement of pre-existing relationship between issuer and investor
(most exempted transactions prohibit general solicitation) (Howell, Parker & Xu 2026)
- Structural:
 - ▶ High min. investment threshold
 - ▶ Heavy intermediation: GP, advisors/brokers → gatekeepers for access

Context: What does democratization mean?

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⇒ This paper speaks to this intensive margin

Context: Key tensions in democratization

- Regulation: broadening access vs. protecting retail investors
 - ▶ Particularly acute in private markets with high info asymmetry
- Intermediation: need for liquidity and economy of scale
vs. unequal access to intermediaries and layered fees

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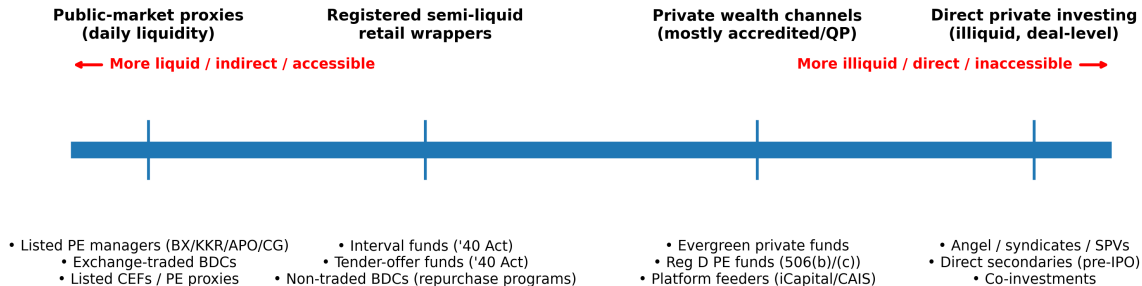
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This paper

- Fantastic investor-advisor-fund level data on HNWI individuals' returns in PE
- Key findings
 1. *On average*, HNWI individuals do not underperform institutions
 2. Large wealth gradient among them, due to differential access to advisors with different skills
 3. Intermediary fees impose drag on performance, especially for less wealthy investors
- Contributions
 - ▶ High-quality investor-level data on HNWI individuals' performance in PE
 - ▶ New “intermediary-centric” lens on PE democratization: need to address unequal access to advisors

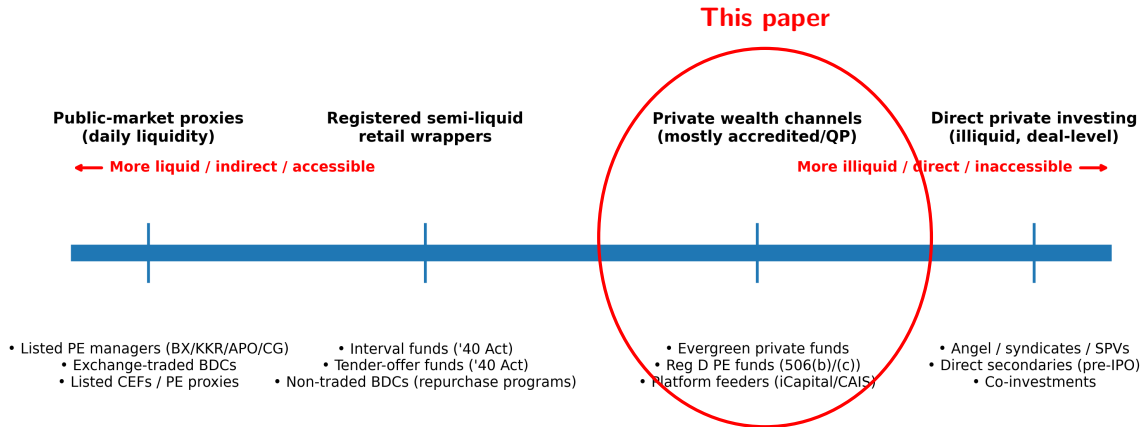
Comment 1: External validity

Current landscape of retail access



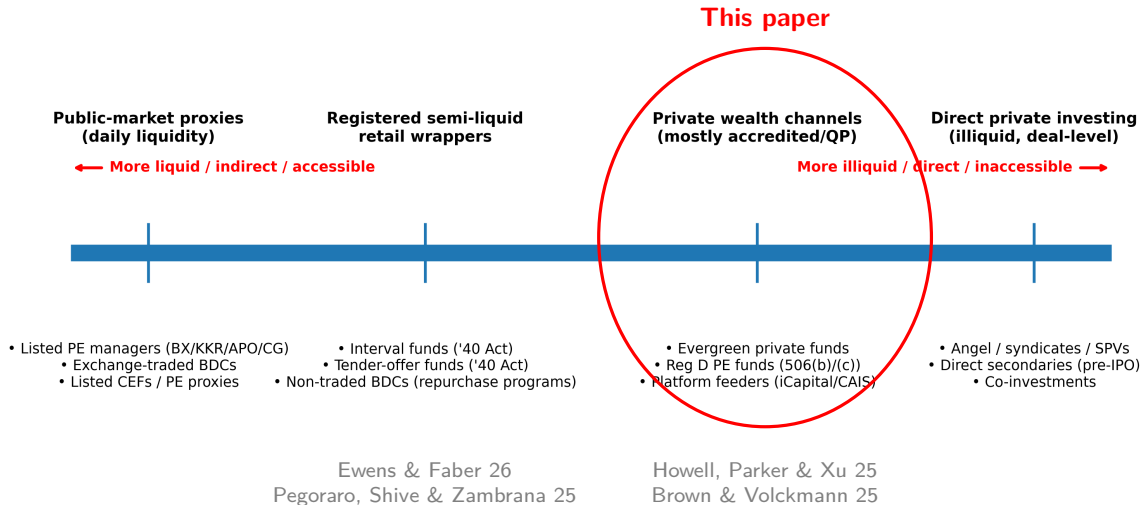
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- This paper focuses on investments by **accredited investors** in **drawdown funds** through **advisors**
⇒ Private-wealth PE, not mass retail
- Who is at the margin of democratization?
⇒ Non-accredited investors + accredited investors who are kept out

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- Who is at the margin of democratization?
⇒ Non-accredited investors + accredited investors who are kept out
- How do results on existing accredited investors generalize?
 - ▶ Wealth gradient could generalize, but depends on method of access

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- Frontiers of retailization are:
 - ▶ Registered wrapper funds for non-accredited investors (e.g., interval/tender-offer/evergreen funds) (Ewens & Faber 2026)
 - ▶ 506(c) general solicitation funds for accredited investors (e.g., AngelList rolling funds) (Howell, Parker & Xu 2026)

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- For these vehicles, advisors may matter less
 - ▶ 506(c) funds publicly advertise; Many registered wrappers allows direct purchase through website
 - ▶ Min. thresholds tend to be lower → less need for pooling through advisors

Comment 2: Wealth gradient – contribution

- Wealth gradient in returns is not new, but the **intermediary mechanism** is
 - ▶ Balloch & Richers (2023): Using same data, document wealth gradient among HNWI in alternatives, driven by **greater diversification** at the top
 - ▶ Bach et al. (2020): Swedish data, mechanism is **greater risk-tolerance**
 - ▶ Fagereng et al. (2020): Norwegian data, mechanism is **financial sophistication**
 - ▶ Gabaix et al. (2016), Hubmer et al. (2020): **scale dependence**

Suggestion: Push the intermediary channel as main contribution

Comment 3: Advisor fixed effects

- Advisor FE explains much less of public market returns (27% vs 64%)
 - ▶ Interpreted as limited sorting by investor preferences.
 - ▶ **Alternative interpretation:** fund managers' skills matter much less/are less persistent in public market (Berk and Demarzo 2026)
- Within buyout funds, no wealth gradient
 - ▶ Consistent with lower info asymmetry than VC funds → advisor skills matter less
 - ▶ **Suggestion:** test if advisor FEs explain buyout returns
- No wealth gradient within advisors → investors largely delegation
 - ▶ **Heterogeneity in advisor type?** Investors of FO and broker/dealers are more proactive; RIA more template-based

Comment 4: Push more on policy implications

- **Upshot:** Less wealthy accredited investors underperform institutions
⇒ Retail investors in line for democratization will likely get the raw deal
- **Policy message:** Intermediaries are the bottleneck in retail PE outcomes
⇒ Democratization without addressing intermediary frictions may not deliver much net benefit to retail investors

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- **Upshot:** Less wealthy accredited investors underperform institutions
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- **Policy message:** Intermediaries are the bottleneck in retail PE outcomes
⇒ Democratization without addressing intermediary frictions may not deliver much net benefit to retail investors
- **What can policy makers do?**
 1. Democratize access to advisors
 - ★ Lower entry barrier & increase competition
 - ★ Make advisory costs more scalable and less fixed
 2. Commoditize PE, so that advisors matter less or can be disintermediated

Smaller comment: Fee drag

Fees exacerbate wealth gradient $\rightarrow$ largely driven by imputing advisor fees as a function of AUM

- This fits RIA's fee structure but not really FO's
- It's imputed on total AUM, not PE AUM. Should measure advisor fees incremental to PE sleeve.
- Why don't better advisors charge higher fees?
 - ▶ Skills rewarded through flow/AUM, similar to mutual fund managers
 - ▶ But economics more similar to GP (both have persistent skills and assortatively match with investors)

Recap

- Fantastic paper presenting new evidence on PE performance of HNW individuals
- Suggestions to:
 - ▶ Discuss external validity for democratization
 - ▶ Highlight the intermediary frame as contribution
 - ▶ Discuss policy implications